

1. Liquidity Analysis

Current Ratio trending and alerts: Current ratio improved from 1.16 (04/30/2024) to 1.15 (05/31/2024), remaining above 1.0 but showing slight deterioration. Alert: Current liabilities exceed current assets in both periods, indicating potential liquidity strain.

Quick Ratio / Acid Test trending: Quick ratio declined from 0.65 to 0.36 month-over-month, indicating reduced ability to meet short-term obligations without inventory liquidation.

Working Capital adequacy analysis: Working capital turned negative (-₹184.9M in May 2024 vs -₹184.5M in April 2024), signaling insufficient short-term assets to cover liabilities.

Cash position and runway analysis: Cash balances remained stable (₹219.6M to ₹217.1M), representing approximately 24% of current liabilities, providing limited operational runway.

Net Working Capital changes and drivers: NWC deterioration driven by significant growth in other current liabilities (₹938.9M) outpacing current asset growth.

Liquidity coverage ratio: Liquid assets cover only 26% of current liabilities, below optimal levels of 100%+.

Cash conversion efficiency: Data unavailable for meaningful calculation without income statement data.

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending: Improved from 2.62 to 1.83 month-over-month, indicating reduced reliance on debt financing.

Debt-to-Capital ratio analysis: Declined from 72% to 65%, showing better capital structure balance.

Total Debt composition (secured vs unsecured): Secured debt comprises 77% of total borrowings, with unsecured at 23% in May 2024.

Debt maturity profile: Long-term debt represents 34% of total liabilities, suggesting

manageable maturity structure.

Interest coverage ratio: Data unavailable without income statement data.

Debt service coverage ratio: Data unavailable without cash flow data.

Fixed charge coverage ratio: Data unavailable without detailed expense breakdown.

Solvency stress testing: Equity cushion improved to 13% of total assets, providing moderate protection against asset value declines.

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current): Data unavailable without revenue figures.

Fixed Asset utilization trends: Fixed assets decreased slightly (₹396.4M to ₹394.3M) while total assets declined, suggesting potential underutilization.

Asset age & depreciation analysis: Data unavailable without detailed fixed asset schedule.

Capital intensity metrics: Fixed assets represent 25% of total assets, indicating moderate capital intensity.

Asset productivity per rupee invested: Data unavailable without revenue data.

Non-current vs current asset mix: Shift from 29% non-current/71% current to 34% non-current/66% current, indicating better long-term asset allocation.

Asset quality indicators: Receivables declined significantly (₹501.9M to ₹261.6M), potentially indicating improved collection efficiency.

4. Capital Structure Analysis

Equity composition and changes: Total equity increased from ₹197.4M to ₹201.3M, driven by current year profit accumulation.

Reserves & Surplus movements: Reserves & surplus increased from ₹0 to ₹79.8M, indicating profit retention.

Retained earnings patterns: Current year profit grew from ₹79.8M to ₹84.9M (YTD), showing consistent earnings retention.

Capital adequacy metrics: Equity-to-total assets ratio improved from 11% to 13%, indicating stronger capital base.

Optimal capital structure comparison: Current debt-to-equity of 1.83 approaches more conservative levels compared to previous 2.62.

Cost of capital analysis: Data unavailable without detailed cost breakdowns.

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios: Improved from 1.12 to 1.15, indicating better asset coverage of liabilities.

Equity multiplier: Declined from 9.35 to 7.84, showing reduced financial leverage.

Financial leverage index: Data unavailable without ROE and ROA calculations.

Balance sheet strength score: Moderate (6/10) - improved leverage but liquidity concerns persist.

Red flags identification: Negative working capital, high current liabilities, and negative accounts payable in May 2024 require monitoring.